

Learning Objectives

- ▶ By the end of this lecture, students will be able to:
- ▶ Define e-business and distinguish it from e-commerce.
- ▶ Explain the components and technologies that enable e-business.
- ▶ Identify major e-business models.

What Is E-Business?

► Definition

E-Business is the use of digital technologies (especially the Internet) to support **buying, selling, communicating, collaborating, and running business processes.**

E-Business vs. E-Commerce

E-Business

Broad concept

All digital business activities

Includes marketing, HR, supply chain, communication

E-Commerce

Narrow concept

Online buying & selling only

Focuses on transactions

Example:

Using email for HR = **E-Business**

Buying from Amazon = **E-Commerce**

Key Technologies Enabling E-Business

- ▶ Websites & browsers
- ▶ Databases
- ▶ Cloud computing
- ▶ Mobile apps
- ▶ Electronic payment systems
- ▶ Social media platforms
- ▶ AI & analytics
- ▶ Cybersecurity tools

Electronic Commerce

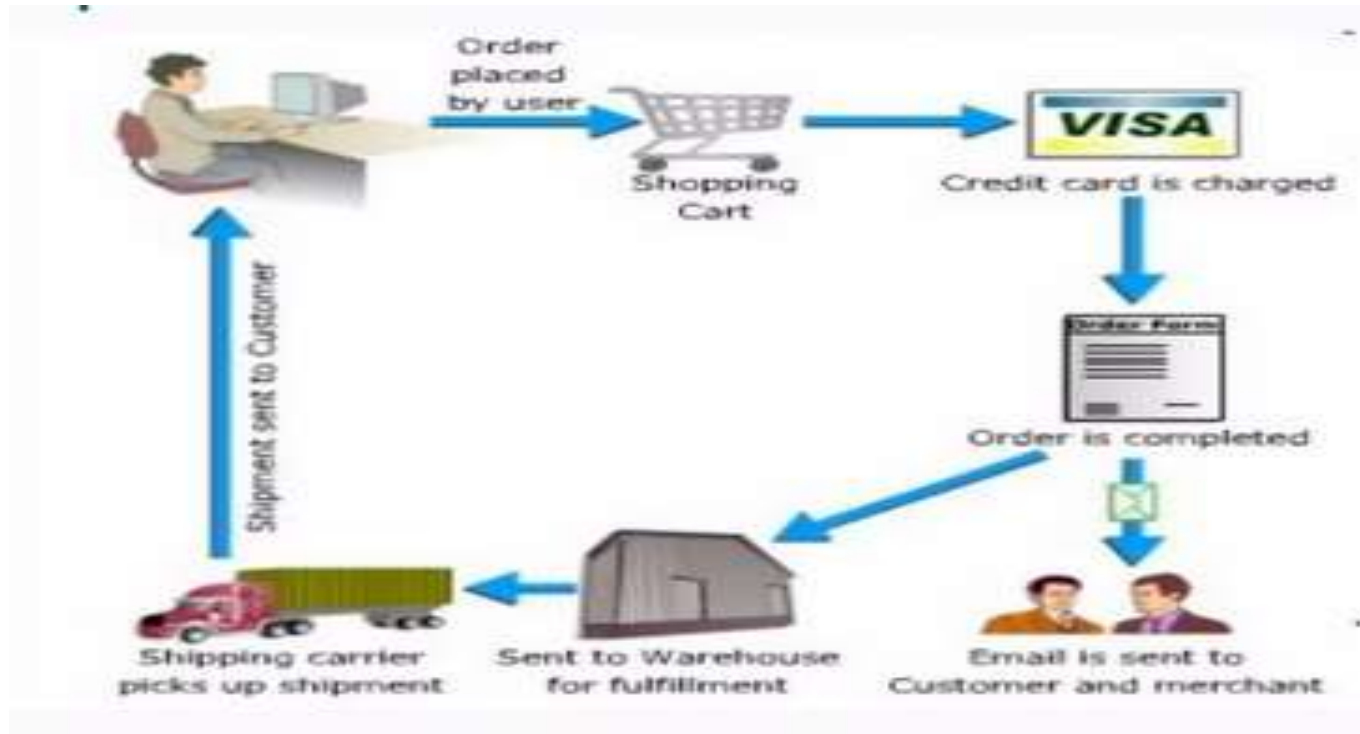
Definition of E-Commerce

- ❑ Commerce is a division of trade or production which deals with the exchange of goods and services from producer to final consumer.
- ❑ E-Commerce or Electronic commerce is a process of buying, selling, transferring, or exchanging products, services, and/or information via electronic networks and computers
- ❑ Formulating commercial transactions at a site remote from the trading partner and then using electronic communications to execute that transaction. The definition includes business to business and business to consumer transactions.

The process of E-commerce

- ❑ A consumer uses Web browser to connect to the home page of a merchant's Web site on the Internet.
- ❑ The consumer browses the catalog of products featured on the site and selects items to purchase. The selected items are placed in the electronic equivalent of a shopping cart.
- ❑ When the consumer is ready to complete the purchase of selected items, he provides a bill-to and ship-to address for purchase and delivery.
- ❑ When the credit card number is validated and the order is completed at the Commerce Server site, the merchant's site displays a receipt confirming the customer's purchase.
- ❑ The Commerce Server site then forwards the order to a Processing Network for payment processing and fulfillment.

The process of E-commerce



Features of E-Commerce

- ❑ **E-Commerce provides following features**
- ❑ **Non-Cash Payment:** E-Commerce enables use of credit cards, debit cards, smart cards, electronic fund transfer via bank's website and other modes of electronics payment.
- ❑ **24x7 Service availability:** E-commerce automates business of enterprises and services provided by them to customers are available anytime, anywhere. Here 24x7 refers to 24 hours of each seven days of a week.
- ❑ **Advertising :** E-commerce increases the reach of advertising of products and services of businesses.
- ❑ **Marketing :**It helps in better marketing management of products / services.

Features of E-Commerce

- ❑ Improved Sales: Using E-Commerce, orders for the products can be generated any time, any where without any human intervention. By this way, dependencies to buy a product reduce at large and sales increases.

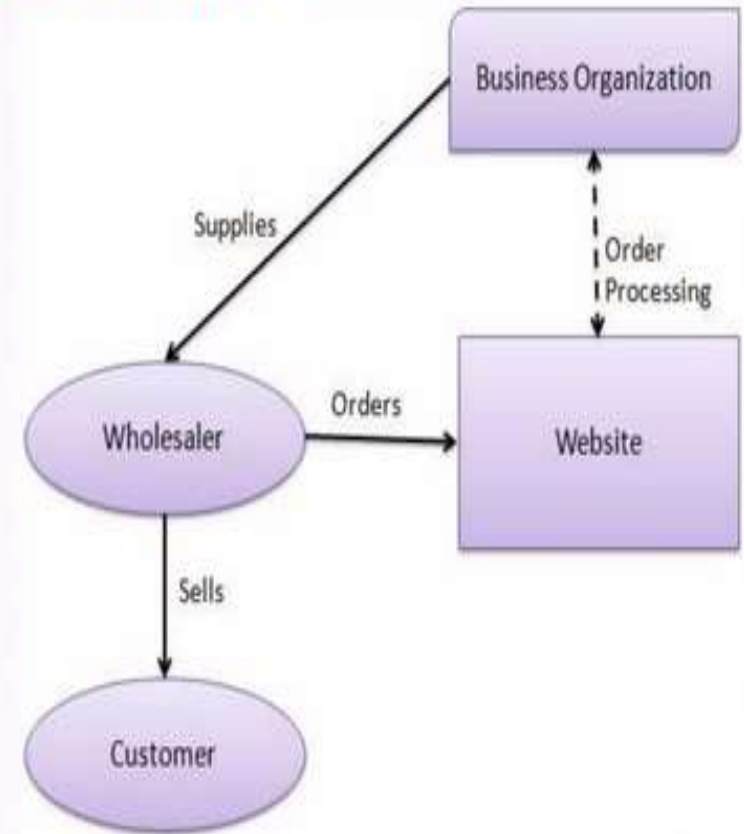
Different Types of E-Commerce

- ❑ Business-to-business (B2B)
- ❑ Business-to-Consumer (B2C)
- ❑ Consumer-to-consumer (C2C)

Business-to-Business

- ❑ B2B e-commerce is simply defined as ecommerce between companies.
 - ❑ About 80% of e-commerce is of this type.
- ❑ Examples:
 - ❑ Intel selling microprocessor to Dell

B2B E-commerce



Business-to-Consumer

- ❑ B2C e-commerce, or commerce between companies and consumers, involves customers gathering information; purchasing physical goods or receiving products over an electronic network.
- ❑ Example:
 - ❑ Dell selling me a laptop



Consumer-to-Consumer

- ❑ C2C e-commerce is simply commerce between private individuals or consumers.
- ❑ Example:
 - ❑ Mary buying an iPod from Tom on eBay.
 - ❑ Me selling a car to my friend.

C2C E-commerce



Applications of E-Commerce

- 1) Online Shopping .
- 2) Online Banking.
- 3) Electronic Bill Payment.
- 4) Electronic ticketing

Online Shopping:

- ❑ Online shopping is the process consumers go through to purchase products or services over the Internet.
- ❑ Online shopping is a type of electronic commerce used for business-to-business (B2B) and business-to-consumer (B2C) transactions.

Online Banking:

- ❑ Online banking (or Internet banking) allows customers to conduct financial transactions on a secure website operated by their bank.
- ❑ The common features provided by online-banking fall broadly into several categories: Transactional Non-transactional

Electronic Bill Payment:

- ❑ Electronic bill presentment and payment (EBPP) is a fairly new technique that allows consumers to view and pay bills electronically.
- ❑ EBPP systems send bills from service providers to individual consumers via the internet.

Electronic Ticketing:

- ❑ An electronic ticket or e-ticket is used to represent the purchase of a seat on a passenger airline, usually through a website or by telephone.
- ❑ This form of airline ticket has rapidly replaced the old multi-layered paper tickets.

E-Commerce Advantages

- ❑ E-Commerce advantages can be broadly classified in three major categories:
- ❑ Advantages to Organizations.
- ❑ Advantages to Consumers
- ❑ Advantages to Society

Advantages to Organizations

- ❑ Using E-Commerce, organization can expand their market to national and international markets.
- ❑ E-Commerce helps organization to reduce the cost to create process, distribute, retrieve and manage the paper-based information by digitizing the information.

Advantages to Customers

- ❑ 24x7 support.
- ❑ E-Commerce application provides user more options and quicker delivery of products.
- ❑ E-Commerce application provides user more options to compare and select the cheaper and better option.
- ❑ Readily available information. A customer can see the relevant detailed information within seconds.
- ❑ E-Commerce increases competition among the organizations and as result organizations provides substantial discounts to customers.

advantages to Society

- ❑ Customers need not to travel to shop a product thus less traffic on road .
- ❑ E-Commerce helps reducing cost of products so less affluent people can also afford the products.
- ❑ E-Commerce has enabled access to services and products to rural areas as well which are otherwise not available to them.
- ❑ E-Commerce helps government to deliver public services like health care, education, social services at reduced cost and in improved way.

E-Commerce Disadvantages

- ❑ E-Commerce disadvantages can be broadly classified in two major categories:
 - ❑ Technical disadvantages
 - ❑ Non-Technical disadvantages

E-Commerce Disadvantages

❑ Technical Disadvantages :

- ❑ There can be lack of system security, reliability or standards owing to poor implementation of e-Commerce.
- ❑ In many countries, network bandwidth might cause an issue as there is insufficient telecommunication bandwidth available.

E-Commerce Disadvantages

❑ Non-Technical Disadvantages

- ❑ Initial cost: The cost of creating / building E-Commerce application in-house may be very high.
- ❑ User resistance: User may not trust the site being unknown faceless seller.
- ❑ Security/ Privacy: Difficult to ensure security or privacy on online transactions.
- ❑ Lack of touch or feel of products during online shopping.
- ❑ Internet access is still not cheaper and is inconvenient to use for many potential customers like one living in remote villages.

E-Commerce Technologies

- ❑ The three e-Commerce technologies are:
 - ❑ Electronic Markets
 - ❑ Electronic Data Interchange
 - ❑ Internet Commerce



Mobile Commerce

Definition

- ❑ M-commerce (mobile commerce) is the buying and selling of goods and services through wireless handheld devices such as smartphones and tablets.
- ❑ M-commerce is a form of E-Commerce that enables users to access online shopping platforms without the use of a desktop computer.

E-Commerce Applications

- ❑ Applications of such innovations include:
- ❑ Tickets and boarding passes,
- ❑ Mobile banking,
- ❑ Money transfers, contactless payments, and in-app payments,
- ❑ Digital content purchases,
- ❑ Location-based services,
- ❑ Mobile marketing, including coupons and loyalty cards.

Types of Mobile Commerce Applications

- ❑ M-Commerce applications cover a broad range of transaction options. However, it's possible to divide them into one of the following types:
- ❑ Mobile shopping
- ❑ Mobile banking

Mobile shopping

- ❑ This type of m-Commerce implementation is most similar to e-Commerce, only accessible through a mobile device. We're talking about dedicated apps, optimized websites, or even social media platforms like Facebook or Instagram that allow in-app purchases or linking to online stores.

Mobile banking

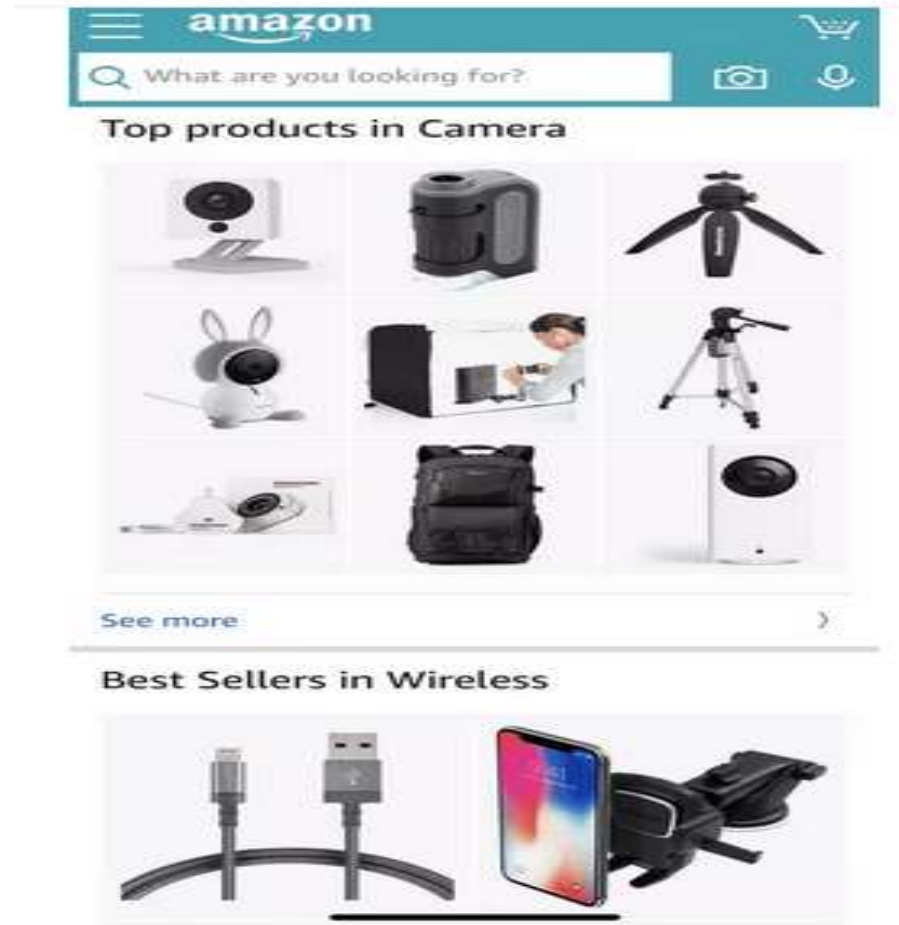
- ❑ Mobile banking is online banking designed for handheld technology. It enables customers to **access accounts** and brokerage **services**, conduct **financial** transactions, pay **bills** and make stock trades.
- ❑ This is typically done through a secure, dedicated app provided by the **banking institution**. Mobile banking services may use **SMS** or **chatbots** and other conversational app platforms to send out **alerts** and track account activities.
- ❑ For example, **Fawry** application lets customers view their account balance, transfer funds, review loans and conduct other transactions in real time.

Mobile payments

- ❑ This type of mobile commerce focuses on the progressive innovation in payment options realized with mobile devices. Today consumers can take advantage of many diverse mobile payment options that go way beyond mobile wallets.
- ❑ Digital wallets, such as Apple Pay, let customers buy products without swiping a card or paying with cash.
- ❑ Mobile consumers also use QR codes to pay for things on their mobile phones.

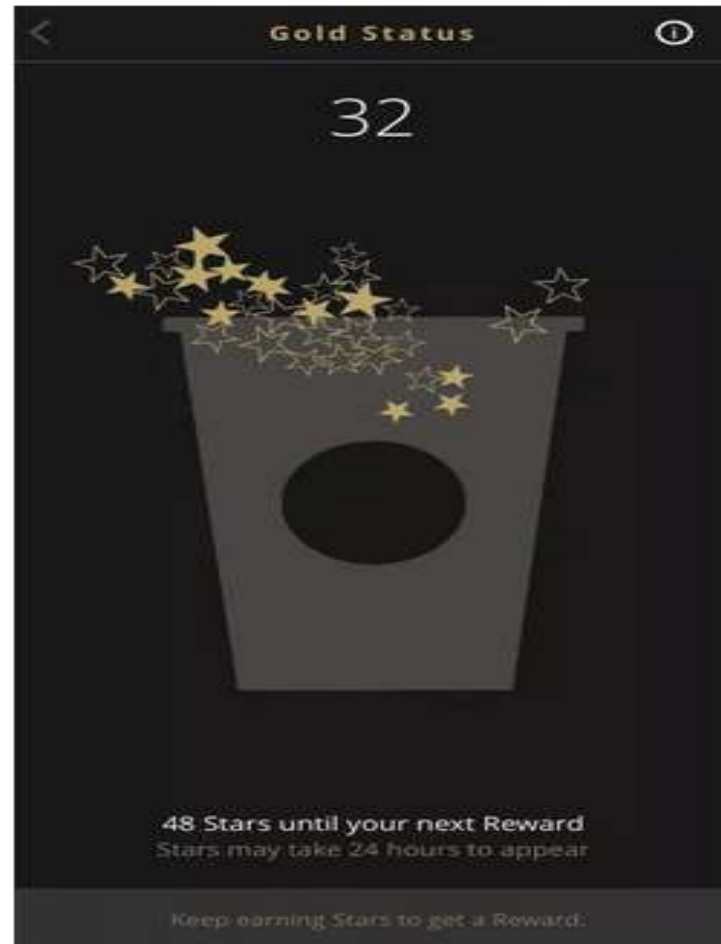
Mobile Commerce Applications Examples

Amazon



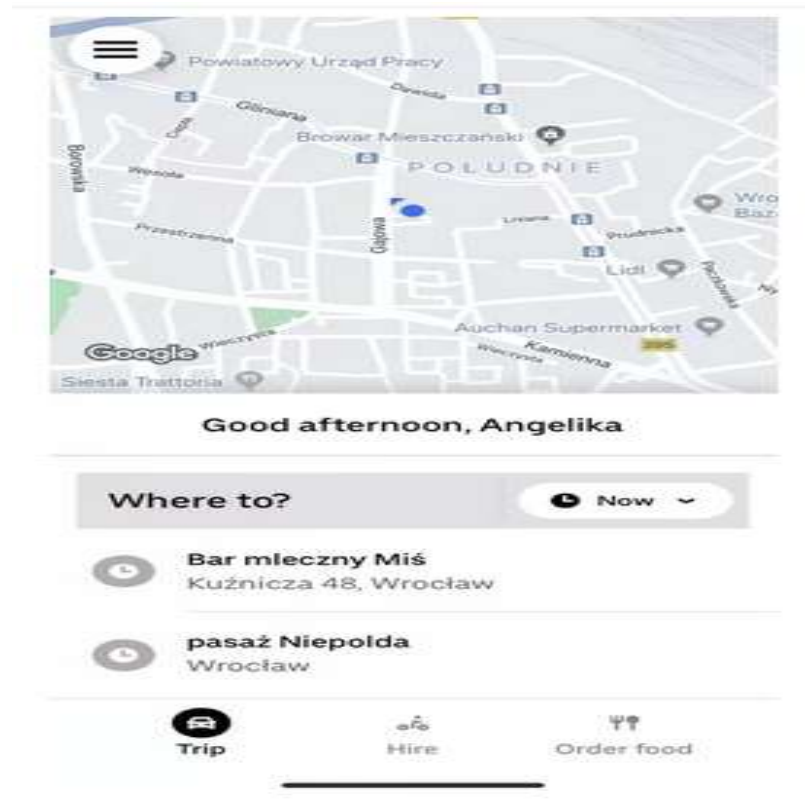
Mobile Commerce Applications Examples

Starbucks



Mobile Commerce Applications Examples

Uber



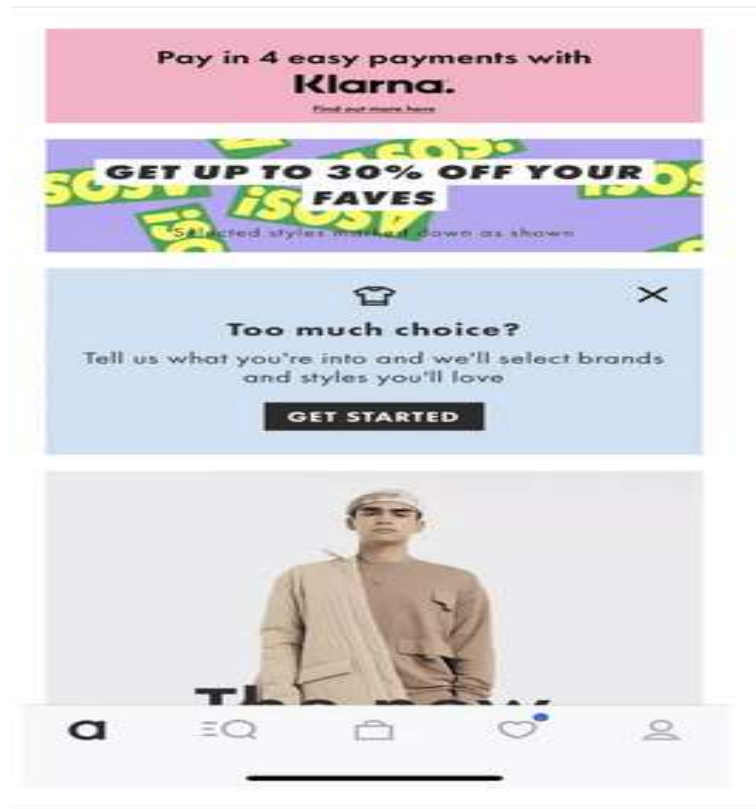
Mobile Commerce Applications Examples

Sephora



Mobile Commerce Applications Examples

ASOS



Ways to Improve Mobile Commerce

- ❑ **Quick-loading** web pages are likely to win more sales because consumers can be impatient and demand instant gratification. Mobile checkouts must let buyers easily enter payment information, preferably with mobile wallets that eliminate the use of manual entry, thereby reducing human error and facilitating a smoother checkout experience.

Ways to Improve Mobile Commerce

❑ Mobile Commerce Videos and Marketing

- ❑ Mobile applications that use videos to demonstrate a product's key features are likely to generate more revenue. For example, an online foreign exchange broker who sends video links illustrating its new mobile trading application will likely win more clients.

Ways to Improve Mobile Commerce

❑ Mobile Web and Mobile Applications

- ❑ Consumers typically use Google or social media promotions to initiate online shopping searches. Consequently, browsers tend to drive more transactions than mobile applications. For this reason, consumers often pair the use of mobile applications with mobile websites to enhance their overall shopping experience.

